

International Finance Corporation Membership Act, 1965

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 5

Act to Obtain Membership of the International Finance Corporation, 2022

Great Seal and Date of Publication

2022.5.16

Amending Acts

1. Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 (2009) ? 2066.10.17
2. Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075 (2018) ? 2075.11.19

Act No. 6 of the year 2022

Act made to enable Nepal to accept the international agreements for the establishment and operation of the International Finance Corporation and to become a member of the said Corporation

Preamble: Whereas the International Finance Corporation has specified conditions under which Nepal may be admitted to membership of the International Finance Corporation on the terms set forth in Schedule 1 of this Act, and whereas it is necessary to make provisions for the matters hereinafter written to fulfill the conditions aforesaid,

Now, therefore, His Majesty King Mahendra Bir Bikram Shah Dev, with the advice and consent of the National Panchayat, hereby enacts this Act. 1. Short Title and Commencement: (1) This Act may be called the "Act to Obtain Membership of the International Finance Corporation, 2022".

(2) This Act shall come into force immediately. 2. Definition: Unless the subject or context otherwise requires, in this Act, -

(a) "Corporation" means the International Finance Corporation.

(b) "Corporation Agreement" means the Articles of Agreement of the International Finance Corporation. 3. Authority to Enter into Agreements and Deposit Instruments of Acceptance: The Minister of Finance of the Government of Nepal may, by an instrument under his/her signature, authorize the person specified in such instrument to do on behalf of the Government of Nepal the following acts: -

(a) To sign the Articles of Agreement of the International Finance Corporation.

(b) To deposit with the International Bank for Reconstruction and Development an instrument of acceptance of the Corporation Agreement, stating that the Government of Nepal has accepted, in accordance with the laws of Nepal, the relevant Agreements and the terms specified therein on which Nepal is to be admitted to membership of the International Finance Corporation. 4. Authority to Make Payments to the Corporation: The Minister of Finance of the Government of Nepal shall have the authority to make payments from the Federal Consolidated Fund, as amended by the Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075. of sums which may from time to time become payable to the Corporation on behalf of the Government of Nepal in accordance with the terms set forth in Schedule 1 and the Corporation Agreement. 5.

Nepal Rastra Bank Nominated as Depositary: The Nepal Rastra Bank is nominated as the depositary for the purposes of Section 9 of Article 4 of the Corporation Agreement as per Schedule 2. 6. Medium of Correspondence: The Secretary, Ministry of Finance, Government of Nepal, is nominated as the medium of correspondence for the purposes of Section 10 of Article 4 of the Corporation Agreement as per Schedule 3. 7. Status, Immunities, and Privileges of the Corporation: Notwithstanding anything contained in the prevailing laws of Nepal, the Corporation shall enjoy the status, immunities, and privileges as set forth in Article 6 of the Corporation Agreement as per Schedule 4. 8. Power to Amend Schedules: If any matter in the Schedules of this Act corresponding to the Corporation Agreement is amended, the Government of Nepal may, by notification published in the Nepal Gazette from time to time, amend the Schedules of this Act accordingly. 9. Power to Make Rules: The Government of Nepal may make rules for carrying out the purposes of this Act.

Schedule 1 International Finance Corporation Proposal No. Membership for Nepal WHEREAS the Government of Nepal has applied for membership in the International Finance Corporation, and WHEREAS, pursuant to Section 17 of the By-Laws of the Corporation, the Executive Directors, after consultation with representatives of Nepal, have submitted a recommendation on this application to the Board of Governors, NOW, THEREFORE, the Board of Governors hereby makes an offer to admit Nepal to membership in the Corporation on the following terms and conditions:-

1. Definitions: As used in this Proposal: - (a) "Corporation" means the International Finance Corporation. (b) "Articles" means the Articles of Agreement of the Corporation. (c) "Dollar" means the dollar of the United States of America. (d) "Subscription" means the subscription of a member to the capital stock of the Corporation. (e) "Member" means a member of the Corporation.
2. Subscription: Upon accepting membership in the Corporation, Nepal shall subscribe to Fifty-five (55) shares of the capital stock of the Corporation. The par value of each such share shall be One thousand Dollars (US\$ 1,000).
3. Membership in the Bank: Nepal shall become a member of the International Bank for Reconstruction and Development before accepting membership in the Corporation.
4. Payment of Subscription: Before receiving membership in the Corporation, Nepal shall pay to the Corporation the full amount of Fifty-Five Thousand Dollars (US\$ 55,000) payable in respect of the shares of capital stock taken up by Nepal, in gold or United States dollars.
- 5.

Certification and Information: Before accepting membership in the Corporation, Nepal shall deliver to the Corporation a certification that it has taken all action necessary to sign and deposit the instrument of acceptance and to sign the Articles as specified in paragraphs 6(c) and (d) of this Proposal. Nepal shall furnish the Corporation with such information as it may request concerning such action.

6. Acceptance of Membership: Nepal shall become a member of the Corporation on the date on which it has fulfilled the following requirements, after making the subscription as specified in paragraph 2 of this Proposal: - (a) Pays the amount specified in paragraph 4 of this Proposal; (b) Delivers the certification and information specified in paragraph 5 of this Proposal; (c) Deposits with the International Bank for Reconstruction and Development an instrument of certification stating that it has accepted, in accordance with its law, all the terms and conditions set forth in this Proposal and the Articles and has taken all steps necessary to enable it to fulfill all its obligations under this Proposal and the Articles; and (d) Signs the original copy of the Articles held by the International Bank for Reconstruction and Development.
7. Time Limit for Acceptance of Membership: Nepal may accept membership in the Corporation under this Proposal on or before March 31, 1965. The Executive Directors may, however, extend this time limit if they deem it necessary to do so because of exceptional circumstances.

Schedule 2 Section 9 of Article 4 of the Articles of Agreement of the International Finance Corporation

9. Depositaries: Each member country shall designate its central bank as a depositary for the holdings of its currency or other assets of the Corporation; or, if it has no central bank, it shall designate such other institution as may be acceptable to the Corporation for this purpose.

Schedule 3 Section 10 of Article 4

of the Articles of Agreement of the International Finance Corporation 10. Medium of Correspondence: Each member country shall designate an appropriate authority as the medium through which the Corporation may correspond on any matter arising under this Agreement. Schedule 4 Article 6 - Status, Immunities, and Privileges of the Articles of Agreement of the International Finance Corporation 1.

Purpose: To enable the Corporation to fulfill the functions with which it is entrusted, the status, immunities and privileges set forth in this Article shall be accorded to the Corporation in the territories of each member.

2. Status of the Corporation: The Corporation shall possess full juridical personality and, in particular, the capacity: - (i) to contract; (ii) to acquire and dispose of immovable and movable property; (iii) to institute legal proceedings. 3. Position of the Corporation with regard to Judicial Proceedings: Actions may be brought against the Corporation only in a court of competent jurisdiction in the territories of a member in which the Corporation has an office, has appointed an agent for the purpose of accepting service or notice of process, or has issued or guaranteed securities. No actions shall, however, be brought by members or persons acting for or deriving claims from members. The property and assets of the Corporation shall, wheresoever located and by whomsoever held, be immune from all forms of seizure, attachment or execution before the delivery of final judgment against the Corporation. 4. Immunity of Assets from Seizure: The property and assets of the Corporation, wheresoever located and by whomsoever held, shall be immune from search, requisition, confiscation, expropriation or any other form of seizure by executive or legislative action. 5. Immunity of Archives: The archives of the Corporation shall be inviolable. 6. Freedom of Assets from Restrictions: To the extent necessary to carry out the operations provided for in this Agreement and subject to the provisions of Section 5 of Article 3 and the other provisions of this Agreement, all property and assets of the Corporation shall be free from restrictions, regulations, controls and moratoria of any nature. 7. Privilege for Communications: The official communications of the Corporation shall be accorded by each member the same treatment that it accords to the official communications of other members. 8.

Immunities and Privileges for Officers and Employees: All Governors, Directors, Alternates, Officers and employees of the Corporation: - (i) shall be immune from legal process with respect to acts performed by them in their official capacity; (ii) not being local nationals, shall be accorded the same immunities from immigration restrictions, alien registration requirements, and national service obligations and the same facilities as regards exchange restrictions as are accorded by members to the representatives, officials and employees of comparable rank of other members; (iii) shall be granted the same traveling facilities as are accorded by members to representatives, officials and employees of comparable rank of other members. 9. Tax Exemptions: (a) The Corporation, its assets, property, income and its operations and transactions authorized by this Agreement, shall be immune from all taxation and from all customs duties. The Corporation shall also be immune from liability for the collection or payment of any tax or duty. (b) No tax shall be levied on or in respect of salaries and emoluments paid by the Corporation to Executive Directors, Alternates, Officers or employees of the Corporation who are not local citizens, local subjects or other local nationals. (c) No taxation of any kind shall be levied on any obligation or security issued by the Corporation (including any dividend or interest thereon) by whomsoever held: - (i) which discriminates against such obligation or security solely because it is issued by the Corporation; or (ii) if the sole jurisdictional basis for such taxation is the place or currency in which it is issued, made payable or paid, or the location of any office or place of business maintained by the Corporation. (d) No taxation of any kind shall be levied on any obligation or security guaranteed by the Corporation (including any dividend or interest thereon) by whomsoever held: - (i) which discriminates against such obligation or security solely because it is guaranteed by the Corporation; or (ii) if the sole jurisdictional basis for such taxation is the location of any office or place of business maintained by the Corporation. 10. Application of Article: Each member shall take such action as is necessary in its own

territories for the purpose of making effective in terms of its own law the principles set forth in this Article and shall inform the Corporation of the detailed action which it has taken. 11.